INVESTOR INSIGHTS

The First-Time Investor's Risk Map

Every deal that goes wrong traces back to a number nobody questioned. This is the short list of questions to ask on any real estate investment — and the red flags that should give you pause.

The questions to ask on every deal

- What is the property genuinely worth — and who says so?
- How much is being loaned or invested against that value (LTV)?
- What is the equity cushion protecting my position?
- What happens, step by step, if the borrower or deal defaults?
- Is my position first or second in line to be repaid?
- How long is my money committed, and how do I exit?

Red flags worth pausing on

- Valuations that look optimistic or lack a clear basis
- Loan-to-value ratios with little or no equity cushion
- Pressure to move fast without time for due diligence
- A borrower story that doesn't quite hold together
- Returns that seem high without a clear reason why

The honest takeaway

Clarity beats enthusiasm every time. If you can confidently answer what the asset is worth, how much is loaned against it, and what happens in a default — you understand the deal. If you can't, you don't yet.